THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM ONE TERMINAL EXAMINATION
065 BUSINESS STUDIES

Time: 2½ Hours **Friday, 23rd May 2025 p.m.**

Instructions

1. This paper consists of sections A, B and C with a total of **ten (10)** questions.
2. Answer **all** questions.
3. All answers must be written in the spaces provided.
4. All writings must in blue or black ink, except for drawing which must be in pencil.
5. All communication devices and calculators are not allowed in the examination room.
6. Write your **Assessment Names** on the top right on every page.

QUESTION NUMBER	MARKS	INITIALS
1		
2		
3		
4		
5		
6		
7		
8		
9		
10		
TOTAL		

SECTION A (15 MARKS)

1. For each of the items (i) -(x), choose the correct answer from the given alternatives and write its letter in the box provided.

   i. Halima starts a small activity where she buys used clothes and sells them at a profit. Which of the following best describes what Halima is doing?
   A. Consumption
   B. Business
   C. Production
   D. Scarcity

   ii. Mr. Seypalm, a parent, is uncertain about the scope of business studies. Which among the following is a component of business studies?
   A. Entrepreneurship
   B. Accounting
   C. Business Management
   D. All of the above

   iii. Juma starts a maize farming business. He rents land, buys seeds and tools, hires workers, and manages the farm himself. Which of the following correctly identifies the factors of production?
   A. Land as capital, seeds as labor, Juma as entrepreneurship, and workers as land.
   B. Land as land, seeds and tools as capital, workers as labor, and Juma as entrepreneurship.
   C. Juma as labor, workers as capital, land as entrepreneurship, and tools as land.
   D. Workers as land, Juma as capital, seeds as labor, and tools as entrepreneurship.

   iv. Mama Asha buys a sewing machine to make and sell clothes, while Rehema buys a dress for her birthday. Who is the final consumer?
   A. Mama Asha, because she uses the sewing machine to make clothes.
   B. Rehema, because she buys the dress for personal use.
   C. Both, because they are both buying goods.
   D. Neither, because they are not producing the goods themselves.

   v. Which of the following is not considered as a business?
   A. An organization that engages in buying and selling of goods.
   B. An enterprise owned by a single person.
   C. The process of recording business transactions.
   D. Any activity aiming at generating profit.

   vi. Which of the following is not regarded as consumer needs?
   A. Clothing
   B. Housing
   C. Holiday
   D. Water

   vii. Mariam earns TZS 20,000 per day. She spends part of her money on food and the rest

on buying a new handbag and internet bills. Which of the following is a need in Mariam's spending?

A. The handbag
B. Food
C. A new dress
D. Internet bills

viii. Jackson has TZS 50,000. He can either buy a pair of shoes for TZS 50,000 or two T-shirts for TZS 25,000 each. He decides to buy the shoes. What is Jackson's opportunity cost?

A. TZS 50,000 spent on shoes
B. The two T-shirts he did not buy
C. The money he saved
D. The benefit of wearing shoes

ix. The government provides free vaccinations to children to protect them from diseases. Which type of goods is being provided?

A. Merit good
B. Demerit good
C. Free good
D. Economic good

x. Alphonse, a shopkeeper, does not understand how Business Studies and Mathematics work together to help him in doing business? What could be the relationship between the two disciples in helping him?

A. Business Studies teaches the shopkeeper about customer service
B. Mathematics helps the shopkeeper calculate sales, profit, and costs in business
C. Mathematics teaches the shopkeeper how to sell products
D. Business Studies helps the shopkeeper decide what to sell

Answers

i	ii	iii	iv	v	vi	vii	viii	ix	x

2. Match the items from **List A** with those in those in **List B** by writing the letter of a correct option in **List B** that corresponds to an item in **List A**

LIST A	**LIST B**
i. An organization engaged in producing or buying and selling goods and services with the aim of earning profit and satisfying customers' needs	A. Capital B. Land C. Scarcity
ii. The natural resources used in production.	D. Opportunity cost
iii. The human effort, both physical and mental, used to produce goods and services.	E. Production F. Entrepreneurship
iv. Man-made resources like machinery and tools used in production.	G. Labor
v. The ability to organize and manage resources to create a business.	H. Business

Answers

LIST A	i	ii	iii	iv	v
LIST B					

SECTION B (70 MARKS)

3. With examples explain the following types of goods
   i. Durable goods
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   ii. Perishable goods
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   iii. Demerit goods
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   iv. Economic goods
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   v. Free goods
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4. Business Studies is an interdisciplinary subject that connects with various other subjects in many ways. Explain how Business Studies is related to the following subjects, providing practical examples in each subject:
   i. Mathematics
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   ii. Music and Theatre Arts

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iii. Language Subjects

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iv. Agriculture

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5. Businesses involve several key processes that ensure goods and services reach final consumers. Identify and explain the four business processes, in an orderly manner

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ii. ……
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iii. ……
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iv. ……
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6. Neema owns a small shop in her village where she sells different types of goods. One day, she receives a new stock, including food items, household products, and electronics. She needs help sorting them into **durable goods** and **perishable goods** before arranging them on the shelves. Help Neema classify the following items correctly?

List of Goods:		Classification
i.	Loaf of bread	
ii.	Refrigerator	
iii.	Fresh milk	
iv.	Cooking oil	

v.	Wooden table	
vi.	Tomatoes	
vii.	Mobile phone	
viii.	Pack of sugar	
ix.	Bananas	
x.	Sofa set	

7. The government of Tanzania encourages people to use some goods while discouraging the use of others. Some goods provide long-term benefits to individuals and society, while others can have negative effects if overused. Classify the following goods into **merit goods** and **demerit goods**?

List of Goods		Classification
i.	Vaccines	
ii.	Cigarettes	
iii.	Public libraries	
iv.	Alcohol	
v.	Free education	
vi.	Hard drugs	
vii.	Clean water	
viii.	Gambling services	
ix.	Health care services	
x.	Junk food	

8. Maria has just received TZS 500,000 as a gift from her uncle. She is thinking about how to use the money and has two options:
   - *Option 1*: Buying a sewing machine to start a tailoring business.
   - *Option 2*: Paying for a short baking course to improve her cooking skills.
   - *Option 3*: Purchasing a smartphone to help with online learning and communication.

   After careful thought, Maria decides to buy the sewing machine. You are required to:

   (a) Define scarcity

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   (b) Define opportunity cost.

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   (c) Based on Maria's decision, identify her opportunity cost

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9. A group of students is discussing different types of goods while walking home from school. Along the way, they come across various items and begin to classify them as either **free goods** or **economic goods**. Below is a list of 10 goods they encountered. Classify each as either a **free good** or an **economic good**, giving reasons for your choice.

List of Goods	**Classification**
i. Fresh air	
ii. Bottled water	
iii. Sunshine	
iv. A school textbook	
v. River water in a remote forest	
vi. A mobile phone	
vii. Fruits growing in a wild forest	
viii. Electricity	
ix. Cooking gas	
x. A public park	

SECTION C (15 MARKS)

10. John and Amina are Form Two students discussing their future careers. John says, "I don't see the need to study Business Studies because I want to become a doctor." Amina disagrees and explains that Business Studies is useful for everyone, no matter their career. Explain at least six reasons why studying Business Studies is important, even for students who do not plan to start a business.

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